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United Kingdom

Individual - Taxes on personal income

Last reviewed - 23 July 2026

Personal income tax rates

Income tax is charged at graduated rates, with higher rates of income tax applying to higher bands of income. Tax is charged on total income (from all earned and investment sources) less certain deductions and allowances.

The main allowance is a tax-free amount known as the 'personal allowance', which is 12,570 pounds sterling (GBP) in 2026/27. Most individuals can claim a personal allowance, unless their income is over GBP 125,140. If your income is over GBP 100,000, your personal allowance will be reduced by GBP 1 for every GBP 2 that your income exceeds GBP 100,000.

The net amount after allowances is usually referred to as an individual's taxable income. The graduated rates of income tax vary slightly depending on whether the income is from earnings or investments.

The income tax bands and personal allowance have been frozen for several years. This freeze has been extended until at least April 2031.

Note that changes to the tax rates applicable to dividend income (from April 2026) and savings and property income (from April 2027) were announced in the 2025 Autumn Budget (*see the Significant developments section for more details*).

Income tax bands and rates for taxpayers resident in England, Wales, or Northern Ireland are currently as follows:

	Income threshold 2026/27 (GBP)	Income tax rate (excluding dividends) (%)	Dividend tax rate (%)
Personal allowance	0 to 12,570	0	0
Starting rate for savings	12,571 to 17,570	0*	N/A
Basic rate	12,571 to 50,270	20	10.75**
Higher rate	50,271 to 125,140	40	35.75
Additional rate	Over 125,140	45	39.35

* The 0% starting rate is for savings income only. If non-savings income (which takes up the first 'slice' of income) is above this limit, then the 0% starting rate will not apply.

Note that dividends are always treated as the top slice of income and will be taxed at an individual's highest marginal tax rate (*see Dividend income in the Income determination section for rates specifically applicable to dividends*). 'Savings income' is the next slice down, and other income (such as earnings) will be the lowest slice. The most common form of 'savings income' is interest, but certain other forms of income are also included.

** A dividend allowance applies to the first GBP 500 of an individual's dividend income. The allowance operates as a 0% tax rate. Please note this does not apply to dividends from shares held within an Individual Savings Account (ISA).

The dividend allowance does not reduce total income for tax purposes. Dividend income that is within the 'allowance' still counts towards an individual's basic and higher rate limits.

Scottish Income Tax

Individuals resident in Scotland pay Scottish Income Tax on employment income, pension income and most other taxable income, apart from dividend and savings income, which is taxed at the rates above, in line with the rest of the United Kingdom.

Changes to dividend and savings income tax rates announced at the 2025 Autumn Budget will apply across the United Kingdom, including Scotland from April 2026. The changes to the taxation of property income from April 2027 do not apply in Scotland; there will be consultation with the devolved government of Scotland regarding property income tax rates. *See the Significant developments section for more details on the changes and when they apply.*

The Scottish Income Tax rates are as follows in 2026/27:

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	Income threshold 2025/26 (GBP)	Scottish Income Tax rate (%)
Personal allowance	0 to 12,570	0
Starter rate	12,571 to 16,537	19
Basic rate	16,538 to 29,526	20
Intermediate rate	29,527 to 43,662	21
Higher rate	43,663 to 75,000	42
Advanced rate	75,001 to 125,140	45
Top rate	Over 125,140	48

Trustees and income tax

The income tax rates paid by trustees depend on the type of trust involved.

From 6 April 2024, accumulation or discretionary trusts with income of any type up to GBP 500 do not pay tax on, or report, that income as it arises. Where income exceeds GBP 500, the trust rates of tax (currently 39.35% for dividends and 45% for all other income) apply to all of the trust's income, not just the excess over GBP 500. The previous standard rate band, which taxed the first GBP 1,000 of trust income at the basic rate (20%) or dividend ordinary rate, no longer applies. Income that is used to meet qualifying trust expenditure is taxed at 10.75% (dividend income) or 20% (other income).

Interest in possession trustees pay income tax at 10.75% (dividends) or 20% (all other income). Income mandated to the beneficiary (broadly, income that is paid directly from the original source to the beneficiary, bypassing the trust) is taxed on the beneficiary and should be included on their tax return rather than on a trust tax return.

Trustees do not qualify for the dividend allowance.

There are special rules for other types of trusts (e.g. non-resident trusts, settlor-interested trusts, and trusts for vulnerable people). Advice should be sought as trust taxation is a complex area.

Note that changes to the tax rates applicable to dividend income (from April 2026) and savings and property income (from April 2027) were announced in the 2025 Autumn Budget. These changes apply to trustees as well as individuals (*see the Significant developments section for more details*).

Basis of taxation in the United Kingdom

The basis of taxation in the United Kingdom changed significantly from 6 April 2025. We have outlined these changes below. The rules applicable up to 5 April 2025 can be found in the second part of this section.

Basis of taxation from 6 April 2025

Until 5 April 2025, the basis of taxation was dependant on two factors, an individual's residence status, under the Statutory Residence Test (SRT), and their domicile status. The relevance of domicile in determining the extent to which an individual is subject to UK taxation was (broadly) abolished with effect from 6 April 2025. Instead, a new residence-based regime came into effect, along with transitional measures designed to smooth the impact of the significant changes. Therefore, from 6 April 2025:

- Individuals are subject to UK tax on their worldwide income and gains where they have been a UK resident (under the SRT) for more than four tax years, regardless of their domicile status.
- For UK IHT purposes, the concept of domicile has been replaced by the concept of a long-term UK resident. An individual will be a long-term UK resident if they have been UK resident under the SRT for at least 10 of the previous 20 tax years. Long-term UK residents are subject to UK IHT on their worldwide assets.
- New arrivers to the United Kingdom qualify for a new foreign income and gains (FIG) regime for their first four years of UK residence, provided they have been non-UK tax resident for the previous ten years. This applies irrespective of whether that person might have been regarded as domiciled in the United Kingdom under the ‘old regime’.
- Under the FIG regime, new arrivers do not have to pay tax on their foreign income and gains and will be free to bring those funds into the United Kingdom, albeit with an obligation to report to His Majesty's Revenue and Customs (HMRC) any amounts on which they are claiming the exemption.
- Overseas workday relief (OWR) is now available for eligible employees in their first four years of UK tax residence, as long as they are eligible for the FIG regime. This relief applies to income from employment duties carried out overseas. The new regime is subject to an annual cap (exception for those who arrived in 2023/24 or 2024/25). That cap will be the

lesser of GBP 300,000 or 30% of 'relevant qualifying employment income' per tax year (i.e. the maximum relief over the four years is GBP 1.2 million).

Transitional measures for non-UK domiciled individuals

- The Temporary Repatriation Facility (TRF) offers a three-tax-year window (2025/26, 2026/27, and 2027/28) for historic (pre-6 April 2025) unremitted income and gains to be brought to the United Kingdom and taxed at a favourable rate of 12% for the first two years and 15% for the third year.
- Capital gains tax (CGT) rebasing is allowed for non-UK assets sold after 5 April 2025 that were owned at 5 April 2017. To be eligible, the individual must have made a claim for the remittance basis in 2017/18 or a subsequent tax year. Assets will be rebased to their market value as at 6 April 2017; they must have been held by the individual at that date and situated outside the United Kingdom from 6 March 2024 to 5 April 2025. Rebasing of non-UK situs assets to their 5 April 2017 value for individuals who became deemed domiciled at 6 April 2017 continues to apply for those individuals, provided they continued to be non-UK domiciled under general law to 5 April 2025.

Inheritance tax (IHT)

In line with the above, from 6 April 2025, the previous IHT system, based on domicile, was replaced with a residence-based system.

Individuals are now only subject to UK IHT on their non-UK situated assets once they have been resident in the United Kingdom for at least 10 of the last 20 tax years. An individual who has been UK resident for at least 10 of the last 20 tax years will be considered a ‘long-term resident’ (LTR), and this will dictate their exposure to UK IHT.

It is worth noting that years spent in the United Kingdom as a student and years where an individual was tax resident in the United Kingdom under domestic law, but resident under treaty tie-break provisions elsewhere, also count towards the ten years for these purposes.

Please note that UK situs assets are always within the scope of UK IHT, irrespective of an individual’s residence, domicile, or LTR status, so LTR status is only relevant to any exposure on non-UK situs assets.

LTRs who subsequently leave the United Kingdom will remain subject to UK IHT for up to ten years after they cease to be UK resident.

The length of this LTR IHT ‘tail’ will be three years for those individuals who were resident in the United Kingdom between 10 and 13 tax years, increasing by one year for every additional year of UK residence, up to a total of ten years.

Non-UK resident trusts will also be brought within the scope of UK IHT where the settlor is an LTR in the United Kingdom (i.e. has been in the United Kingdom for more than ten years) at the date of a UK IHT chargeable event.

The UK IHT exposure of such trusts will be subject to a cap of GBP 5 million per ten-year period.

This is an area of particular complexity, so specific advice should be sought for any individuals who have settled trusts and become UK tax resident or became an LTR with effect from 6 April 2025.

Other points to note

- Business investment relief (BIR) will continue to be available for qualifying investments made prior to 6 April 2025 and new investments made on or after 6 April 2025 using pre-6 April 2025 foreign income and gains. New investments can continue to be made until 5 April 2028, after which time it will not be possible to make any further investments under BIR.
- The specific ‘trust protections’ that were introduced in 2017 for non-UK domiciled individuals/settlors of non-UK resident trusts have been removed. From 6 April 2025, income and gains arising within a non-UK resident trust and/or its underlying companies will be taxable on the UK resident settlor (if settlor interested) if they are not eligible for FIG or any other form of exemption (such as the motive defence).
- Notably, certain double tax treaties (DTTs) relating to IHT/estate taxes, in particular those between the United Kingdom and India and Pakistan, remain in force and continue to make reference to (and rely upon) the concept of domicile as a matter of general law.

Basis of taxation prior to 6 April 2025

Prior to 6 April 2025, an individual's basis of taxation in the United Kingdom depended on both their residence and domicile position.

Individuals resident and domiciled in the United Kingdom were taxed on their worldwide income and capital gains.

Non-UK tax residents were generally subject to income tax only on their UK-source income.

Prior to 6 April 2025, if an individual was resident but neither domiciled nor deemed domiciled in the United Kingdom, they could elect to use the remittance basis of taxation. This meant that, in

general, their non-UK income and capital gains were only taxed if they were remitted to or used in the United Kingdom. Different rules applied in respect of employment income.

Whilst domicile remains a common law concept, as of 6 April 2025 an individual's liability to UK tax is determined with reference to their residence rather than domicile status. Whilst an individual's domicile status may remain relevant for the purposes of certain transitional provisions, broadly, the details below apply up until 5 April 2025 only.

Meaning of domicile

Up until 6 April 2025, an individual's domicile status was a key factor in determining how their non-UK income and gains were taxed whilst they were resident in the United Kingdom. The concept of domicile for UK tax purposes is distinct from citizenship, nationality, or residence and may differ from another jurisdiction's concept of domicile. In broad terms, individuals are domiciled in the country that is their permanent or natural home or where they have a 'settled intention to permanently reside'. An individual cannot be without a domicile, can only have one domicile at a time, and is generally regarded as domiciled in the country where they have their permanent home.

There are three classes of common law domicile that a person can acquire throughout their life:

- Domicile of origin - Generally follows that of their father at the time of their birth, if their parents were married.
- Domicile of dependency - Generally tracks changes to the domicile of their father, whilst a child is still a minor.
- Domicile of choice - Acquired on settling in another country with the intention to remain there permanently or indefinitely.

Deemed domicile

From 6 April 2017 to 5 April 2025, where a non-UK domiciled individual ('non-dom') had been resident in the United Kingdom for 15 or more of the last 20 tax years, they were treated as deemed domiciled in the United Kingdom for all taxes and could not claim the remittance basis.

Individuals who had previously claimed non-dom status were therefore required to pay tax on their worldwide income and gains and were subject to UK IHT on their worldwide assets, in the same way as UK domiciled individuals. A child who grew up with non-UK domiciled parents in the United Kingdom could be deemed domiciled by adulthood.

It is worth noting that years spent in the United Kingdom as a student and years where an individual was tax resident in the United Kingdom under domestic law, but resident under treaty tie-break provisions elsewhere, also count towards the 15 years for deemed domicile purposes.

From 6 April 2025, domicile no longer determines an individual's liability to UK tax. Instead, it is based solely on their residence position. *See 'Basis of taxation from 6 April 2025' above for more details*.

Formerly domiciled residents (FDRs)

Under rules prior to 6 April 2025, individuals born in the United Kingdom with a UK domicile of origin who had acquired a domicile of choice elsewhere, but returned to the United Kingdom (i.e. FDRs), had a one-year grace period on resuming UK residence before their worldwide assets became subject to IHT. In this scenario, they would also be subject to income and capital gains tax on the arising basis for any tax year of UK residence.

Any trusts set up by FDRs whilst they were non-UK domiciled did not benefit from excluded property status, and non-UK trust property fell within the scope of UK IHT for any year in which the settlor had FDR status. In addition, FDRs were not able to benefit from the trust protections or asset rebasing *as set out under 'CGT rebasing' in the Other taxes section*.

Domicile status

HMRC are increasingly enquiring into claims by individuals to be non-UK domiciled, especially where the individual has been resident in the United Kingdom for many years, does not retain strong ties to the country of origin, and/or cannot demonstrate the circumstances in which they will leave the United Kingdom. There are several circumstances in which domicile for general law purposes remains important, even once an individual has become deemed domiciled for tax purposes.

The remittance basis (not available after 5 April 2025)

UK-resident individuals eligible for the remittance basis of taxation prior to 6 April 2025 included the following:

- Non-UK domiciled individuals who were under 18 years of age and had no UK sources of income and gains and did not remit any foreign income or gains. The remittance basis applied automatically in this case (i.e. no UK tax return was required).
- Non-UK domiciled individuals who had unremitted non-UK income and gains on non-UK assets of less than GBP 2,000 in the UK tax year. The remittance basis applied automatically in this case, and no claim (or tax return) was required.
- Non-UK domiciled individuals who had been UK resident for less than seven out of the

preceding nine tax years. The remittance basis must be claimed (by filing a tax return) in this case, but no remittance basis charge applied.

- Non-UK domiciled individuals who had been UK-resident for seven or more of the preceding tax years and paid (if necessary) the annual remittance basis charge (*see below*). A claim was required in this case. If the remittance basis did not apply automatically and a claim was made by the individual, the individual gave up any entitlement to the tax-free personal allowance (*see the Deductions section*) and CGT annual exemption (*see the Other taxes section*).

Remittance basis charge (RBC) (only applicable up to 5 April 2025)

From 6 April 2025, the remittance basis of taxation was abolished meaning the remittance basis charge was only payable up to and including the 2024/25 UK tax year. Prior to this, an individual over 18 years of age who had been resident in the United Kingdom in seven or more of the previous nine years would have to pay an additional tax charge (i.e. RBC) of GBP 30,000 each tax year to enable them to use the remittance basis of taxation.

The RBC was GBP 60,000 for those non-domiciled individuals who had been resident in the United Kingdom for 12 or more of the previous 14 years.

Eligible individuals in categories 1 and 2 above were taxed on the remittance basis but did not lose their allowances and did not have to pay the RBC.

The choice of claiming or not claiming the remittance basis could be made annually up to 5 April 2025, so that a taxpayer could calculate each year whether claiming the remittance basis would cost more or less than being taxed on the arising basis on worldwide income and gains.

Remittances

A tax charge arises if foreign income and gains subject to the remittance basis are remitted to the United Kingdom. This continues to be the case post 5 April 2026. This tax charge is in addition to any RBC paid by the taxpayer for using the remittance basis.

The tax payable in relation to remittances depends on what the individual has or is deemed to have remitted to the United Kingdom.

There are complex statutory ordering rules for determining how a transfer from a 'mixed' fund (i.e. an account comprising of a mixture of capital/foreign income/gains and/or from different tax years) is treated.

Example remittances

Examples of actions that may constitute a remittance are as follows (please note this list is not exhaustive):

- Transferring cash or bank balances to the United Kingdom.
- Withdrawing cash from a non-UK bank account in the United Kingdom.
- Using non-UK funds to settle a UK credit card debt.
- Using non-UK funds to settle liabilities incurred in the United Kingdom.
- Using non-UK funds to pay interest on, or repay, a loan made in the United Kingdom.
- Using non-UK funds to repay or service a loan made overseas but brought to the United Kingdom.
- Using non-UK funds to settle a non-UK credit card debt for UK expenditure.
- Bringing to the United Kingdom assets that have been purchased overseas with unremitted and untaxed income or gains.
- Generally, using non-UK funds to pay for a service provided in the United Kingdom.
- Using non-UK funds to provide collateral for a loan made overseas but brought to the United Kingdom.

As mentioned at the beginning of this section, the UK government abolished the previous tax regime for non-UK domiciled individuals. The above sections set out the rules in place in the United Kingdom prior to 6 April 2025. Please see 'Basis of taxation from 6 April 2025' above for an overview of the current rules.

Alternative minimum tax

There is no alternative minimum tax in the United Kingdom.

Taxation of children

Children under 18 are taxable in their own right unless their income derives from gifts from a parent, where the amount is in excess of GBP 100 it is taxed on the parent.

Local income taxes

There are no local taxes on income in the United Kingdom.

‹ Individual - Significant developments

Individual - Residence ›

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